

INFLARA

THE INFLARA CONSTITUTION & PROTOCOL OVERVIEW

Version 1.1 • August 2026

A transparent, rules-based monetary protocol designed to respond to measured inflation through predefined supply rules and transparent governance.

Built on the Ethereum ecosystem • Live on Arbitrum One

Trust is earned through transparency.

Protocol overview and constitution - not the prescribed MiCA crypto-asset white paper.

This document is informational and constitutional in nature. It is not an invitation or solicitation to purchase INFL, a prospectus, or an investment recommendation.

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Inflara at a Glance

Item	Current configuration
Blockchain	Ethereum ecosystem
Live network	Arbitrum One
Token standard	ERC-20
Genesis supply	100,000,000 INFL
Hard supply cap	1,000,000,000 INFL
Policy cycle	30-day policy snapshot
Execution cycle	Daily epochs
Governance	2-of-3 Safe
Staking reward ceiling	8.5% annualised protocol-reward cap
Core principle	Transparent rules, public verification

1. Executive Summary

Inflara is a transparent, rules-based monetary protocol built on the Ethereum ecosystem. It uses publicly defined policy rules, a controlled economic-data input, verified smart contracts and multi-signature governance to make token-supply decisions understandable and auditable.

Inflara is designed to respond to measured inflation through predetermined supply rules. The protocol does not promise or seek to maintain a fixed market price, CPI-linked redemption value, euro value or other stable value for INFL. CPI is an input into the monetary-policy mechanism; it is not a price peg.

The live Phase 1 deployment operates on Arbitrum One. Monetary policy is snapshotted for 30-day periods. Each snapshot fixes the permitted daily issuance amount for the period, while daily epochs execute the active policy subject to the hard supply cap and staking-reward ceiling.

Inflara does not promise investment returns. INFL may rise or fall in market value, may become illiquid, and may lose some or all of its value. The protocol promises transparent rules, not a financial outcome.

Key distinction: Inflara changes token issuance according to published CPI-response rules. It does not contain a mechanism that forces the market price of one INFL to equal CPI, the euro, or any other referenced value.

2. Regulatory Position & Market-Value Statement

This version of the Inflara Constitution & Protocol Overview is not the statutory crypto-asset white paper prescribed by Regulation (EU) 2023/1114 (MiCA). A separate regulatory white-paper package must be prepared in the required format before any public offer or admission to trading in the European Union where MiCA requires it.

The current protocol design is intended to be documented as a crypto-asset other than an asset-referenced token (ART) or e-money token (EMT), because INFL does not implement a stable-value peg or redemption mechanism. Final legal classification remains subject to applicable law and professional/regulatory assessment.

- INFL does not purport to maintain a stable value by reference to one official currency.
- INFL does not implement a stable-value reference to CPI, commodities, currencies, assets, indices or a basket of rights.
- There is no reserve-backed right to redeem INFL at a fixed or CPI-adjusted value.
- CPI affects the permitted rate of new token issuance; it does not determine INFL market price.
- INFL market value is determined by market participants and may fluctuate substantially or fall to zero.

EU public-offer readiness: Before a MiCA Title II public offer or admission to trading, the legal offeror must be identified, the prescribed white paper and Article 8(4) classification explanation must be completed, and the required notification process must be followed. This protocol overview does not replace that process.

Regulatory references used for this revision include MiCA Articles 3, 4, 6 and 8; the Central Bank of Ireland Title II notification guidance; and Commission Implementing Regulation (EU) 2024/2984 on white-paper formats. The formal MiCA white paper is required to use the prescribed machine-readable format from 23 December 2025.

3. Why Inflara Exists

The challenge

Money influences savings, wages, business planning and long-term financial decisions, yet monetary systems are often difficult for ordinary participants to inspect or understand.

Inflara was created to explore whether monetary rules can be made more visible, constrained and verifiable using public smart contracts rather than relying primarily on discretionary intervention.

The objective is not to guarantee purchasing power or market value. The objective is to make the policy process transparent: participants should be able to see why supply changed, how much changed, and where new supply was allocated.

A different approach

- Every monetary rule is published.
- Every material protocol action is recorded on-chain.
- Administrative authority is separated across contracts and controlled through multi-signature governance.
- The protocol favours measured responses and explicit limits over discretionary intervention.

4. Core Principles

Measurement Before Action - Policy starts with observable economic data. Without an initialized and valid policy input, the protocol does not execute monetary expansion.

Rules Before Discretion - Protocol behaviour should be explainable before it occurs. Phase 1 policy rates, timing and caps are encoded in smart contracts.

Transparency by Default - Supply, roles, contract ownership, staking balances and treasury flows are publicly verifiable.

Community Before Institution - Governance is designed to expand gradually from secure multi-signature administration toward transparent community participation.

Bias Toward Inaction - The protocol uses bounded policy rules and can specify zero issuance at higher inflation bands rather than expanding automatically in every environment.

Simplicity Over Complexity - Core functions are separated into specialised contracts with explicit responsibilities and limited permissions.

5. Protocol Overview

Inflara separates responsibilities across specialised smart contracts. The live Phase 1 system consists of the INFL token, Monetary Policy Engine, Policy Controller V2, Staking Vault and Treasury, with critical administrative functions controlled by a 2-of-3 Safe.

CPI Input (Safe controlled)	Policy Engine (rate band)	Controller V2 (monthly snapshot)	Daily Epoch (mint & allocate)	Vault / Treasury (distribution)
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INFL Token

ERC-20 token with role-based minting and a hard maximum supply. The live Controller V2 is the authorised minter; the governance Safe retains token administration.

Monetary Policy Engine

Stores the current CPI input and maps it to a predefined annual issuance-rate band. In Phase 1, CPI changes require governance-authorised input through the Safe.

Policy Controller V2

Takes a 30-day policy snapshot, fixes the daily mint amount for that period, executes daily epochs and enforces the staking reward cap and hard supply cap.

Staking Vault

Allows voluntary staking of INFL and distributes protocol rewards. Staking rewards are subject to a maximum annualised protocol-reward rate.

Treasury

Receives the portion of daily issuance not allocated to stakers under the reward rules. Treasury balances and transactions are publicly visible.

Governance Safe

A 2-of-3 Safe controls privileged Phase 1 actions such as policy input, ownership functions and token administration.

6. Token & Live Mainnet Deployment

Parameter	Live configuration
Token name / ticker	Inflara / INFL
Standard	ERC-20, 18 decimals
Genesis supply	100,000,000 INFL
Hard maximum supply	1,000,000,000 INFL
Founder genesis balance	2,500,000 INFL

Governance Safe genesis balance	97,500,000 INFL
Network	Arbitrum One (chain ID 42161)
Solidity	0.8.28; optimizer enabled, 200 runs

Live contract addresses

Component	Address
INFL Token	0x3528920D329B7E5E9244332261a791694Dc9a65a
Treasury	0x3d51e9b5Ebd941Bd45f01c5558Dc89C9f5187914
Monetary Policy Engine	0x8F512832dDBaF1482cEF240Daf292EA3c8c1DC41
Staking Vault	0xF63Cb80f7b83B7871FcDBC95d40C187Fe6Db0c5a
Policy Controller V2	0x12CBB7f79B5159Fd4aFa55880c452f65eE5f06Ef
Governance Safe	0x7E267b43b11e312A4685Bb48Ab2B10c43dA1Ef1E

All listed live contracts were source-verified on the Arbitrum block explorer during deployment. The earlier Policy Controller was retired from minting authority when Controller V2 was activated.

7. Monetary Policy

Inflara uses CPI as a policy input. The Phase 1 engine maps the current CPI rate, expressed in basis points, to a predefined annual token-issuance rate. Higher CPI bands reduce permitted issuance. At sufficiently high CPI levels, the policy rate is zero.

CPI input	Annual policy issuance rate
< 1.00%	5.00%
1.00% to < 3.00%	3.00%
3.00% to < 6.00%	2.00%
6.00% to < 10.00%	1.00%
10.00% or higher	0.00%

These rates govern permitted supply expansion only. They are not target returns, market-price forecasts, or promises that INFL will preserve purchasing power.

Current Phase 1 data input

The current live deployment does not represent an automated Chainlink CPI oracle as active. CPI is presently updated through a governance-controlled process using the 2-of-3 Safe. Future oracle automation may be introduced only after testing, review and governance approval.

This controlled-input approach makes the current trust assumption explicit: the Safe controls when the on-chain CPI value is updated. The value, update transaction and resulting policy snapshot are publicly verifiable after execution.

8. Monthly Policy Snapshots

Controller V2 uses a 30-day policy snapshot. Once the Safe refreshes the snapshot, the controller records the current total supply, CPI input and annual policy rate, then calculates one fixed daily mint amount for the policy period.

$$\text{Fixed daily mint} = \text{snapshot supply} \times \text{annual policy rate} \div 365$$

The fixed daily amount does not increase merely because supply rises during the month. A new daily amount is calculated only when the next policy snapshot is permitted and refreshed.

Inaugural V2 snapshot example

Snapshot supply	100,000,000 INFL
CPI input	3.50% (350 bps)
Annual policy rate	2.00% (200 bps)
Fixed daily mint	5,479.452054794520547945 INFL
Policy period	30 days

This is a deployment-state example, not a forecast. Later policy snapshots can produce a different fixed daily amount depending on supply and the active CPI band.

9. Daily Epochs

Inflara executes scheduled daily epochs against the active monthly policy snapshot. A daily epoch does not re-price INFL and does not recalculate the policy rate from current supply. It applies the stored daily mint amount, subject to timing, the hard maximum supply and the staking reward rules.

- The same fixed daily mint amount is used throughout the active 30-day policy period, unless the hard cap would be exceeded.
- An epoch cannot be executed twice immediately; the contract enforces the daily interval.
- If the hard maximum supply would be exceeded, the final epoch is clipped to the exact remaining amount.
- Once maximum supply is reached, further minting is zero.

10. Staking

Staking is voluntary. Participants may deposit INFL into the Staking Vault and may withdraw according to the vault rules. Staking does not guarantee profit, price appreciation or a fixed return.

Reward allocation

The controller first calculates a target staking share of up to 90% of the daily mint. However, actual staking rewards are capped so that the protocol reward allocation does not exceed an annualised 8.5% of total staked INFL.

$$\text{Daily staking cap} = \text{total staked} \times 8.5\% \div 365$$

If the 90% target allocation is larger than the staking cap, only the capped amount is sent to the Staking Vault and the remainder of the daily mint is allocated to Treasury. Therefore the Treasury share is not always 10%; at low staking participation it can be substantially higher.

The 8.5% figure is a maximum protocol reward-rate cap, not a promised APY. Actual rewards depend on policy issuance, total stake, timing, contract operation and other risks.

11. Treasury

The Treasury supports long-term protocol development, infrastructure, security, research and community activity. Treasury funding comes from the portion of daily issuance not allocated to stakers under the active reward rules.

- Treasury balances and transfers are publicly visible on-chain.
- Treasury allocations should be used for protocol-related purposes and disclosed transparently.
- Treasury custody and spending introduce governance and operational risks and therefore require clear controls and public reporting.

12. The Inflara Constitution

Preamble

We believe that trust is earned through transparency.

We believe that monetary systems should operate according to rules that are visible, understandable and publicly verifiable.

We believe that communities should progressively participate in the governance of the systems they choose to support.

Article I - Purpose

Inflara exists to provide a transparent, rules-based monetary protocol that applies published, inflation-responsive supply rules through publicly verifiable smart contracts and governance.

Article II - Transparency

Protocol operations, Treasury activity, governance decisions and constitutional amendments should remain publicly accessible wherever practical.

Article III - Monetary Policy

Monetary policy shall operate according to published rules. No individual, founder or administrator may arbitrarily create new supply outside the contract permissions and constitutional framework adopted by the protocol.

Article IV - Rights of the Community

Members should progressively gain the ability to inspect protocol activity, review Treasury spending, submit governance proposals, participate in constitutional voting and elect future oversight representatives.

Article V - Responsibilities of the Community

Participants are encouraged to evaluate proposals objectively, promote transparency, support long-term sustainability and encourage responsible stewardship.

Article VI - Treasury Accountability

Treasury resources exist to serve the protocol and should remain visible and accountable to the community.

Article VII - Governance Evolution

Inflara is designed to evolve gradually from secure multi-signature administration toward broader constitutional community governance.

Article VIII - Oversight Council

A future Oversight Council may review Treasury activity, constitutional questions, public reporting and governance proposals. Its role should be accountable and review-oriented rather than unconstrained control.

Article IX - Constitutional Amendments

Future amendments should occur through transparent governance procedures and remain publicly recorded.

13. Security

Phase 1 security is based on role separation, publicly verified contracts, automated testing and multi-signature control of privileged functions. Security remains an ongoing process rather than a one-time claim.

- Controller V2 is the authorised token minter; the retired controller no longer has minting authority.
- The Monetary Policy Engine, Controller V2 and Staking Vault are owned by the 2-of-3 governance Safe.
- The Staking Vault reward distributor is Controller V2.
- The governance Safe holds token administration authority while the deployer does not retain that administration role.
- The current automated security suite contains 37 passing tests covering roles, CPI permissions, monthly snapshot behaviour, fixed daily issuance, timing, staking, Treasury allocation, APR limits and the hard supply cap.
- Public source verification allows independent inspection of deployed code and configuration.

Automated tests and source verification reduce risk but do not eliminate smart-contract risk and are not equivalent to an independent external security audit.

14. Transparency

Inflara is designed so that critical state can be independently checked on-chain. Participants can verify total supply, maximum supply, policy snapshot state, contract ownership, role assignments, Vault stake, Treasury balances and protocol transactions.

- Publish live contract addresses and verified source code.
- Publish material governance transactions and policy updates.
- Keep Treasury activity publicly inspectable.
- Maintain documentation that matches the deployed contracts rather than describing future features as already live.
- Clearly distinguish current trust assumptions from future decentralisation goals.

15. Ethereum & Arbitrum

Inflara is built on the Ethereum ecosystem and is currently deployed on Arbitrum One. Arbitrum provides lower transaction costs and faster confirmations while retaining compatibility with Ethereum tooling and settlement infrastructure.

Ethereum Mainnet and additional network deployments remain possible future development paths. Any expansion should follow technical testing, security review, governance approval and updated documentation.

16. Risks

Market-value risk: INFL has no guaranteed or stable value. Market price may fluctuate substantially or fall to zero.

Liquidity risk: INFL may have limited liquidity or no active market. Holders may be unable to sell at a desired time or price.

Smart-contract risk: Bugs, unexpected interactions or implementation errors could cause loss, incorrect accounting or unavailable functions.

Governance-key risk: Phase 1 relies on a 2-of-3 Safe. Loss, compromise, collusion or operational failure of signer keys could affect privileged protocol actions.

Economic-input risk: CPI may be delayed, revised, entered incorrectly or sourced from imperfect data. The current Phase 1 input process includes governance trust.

Policy-model risk: The monetary rules may produce outcomes that differ from participant expectations. Supply rules do not guarantee purchasing-power preservation or price stability.

Staking risk: Rewards are not guaranteed. Reward amounts can be very small at low issuance or high participation, and protocol or market risks remain while tokens are staked.

Treasury risk: Treasury concentration and spending decisions can create financial, governance and reputational risk.

Network risk: Arbitrum or Ethereum outages, congestion, bridge risks or changes to underlying infrastructure can affect access or execution.

Regulatory risk: Crypto-asset regulation can change. Classification, public-offer, marketing, service-provider, tax and reporting requirements may affect the protocol or participants.

Cybersecurity and wallet risk: Users remain responsible for wallet security, transaction review, phishing avoidance and private-key protection.

Important: INFL is not covered by EU investor compensation schemes or deposit guarantee schemes. Nothing in this document should be read as a guarantee of value, liquidity, returns or regulatory treatment.

17. Development Roadmap

Phase 1 - Mainnet foundation (substantially complete)

Arbitrum deployment; verified core contracts; Controller V2; 2-of-3 Safe governance; monthly policy snapshots; daily epochs; staking and Treasury infrastructure; security testing.

Phase 2 - Public-launch readiness

Documentation alignment; regulatory classification work; legal offeror setup; formal MiCA package where required; external security review; Treasury reporting; liquidity and public-interface readiness.

Phase 3 - Community participation

Public discussion; governance proposals; Treasury consultation; reporting; expanded analytics and operational transparency.

Phase 4 - Constitutional governance

Community voting; Treasury governance; constitutional amendments; oversight structures; reduced reliance on founding administration.

Phase 5 - Ecosystem expansion

Potential Ethereum Mainnet or additional network deployments; broader integrations; mature governance and long-term protocol operations.

18. Frequently Asked Questions

Does INFL track CPI or the euro?

No. CPI is a policy input used to determine a supply-issuance rate. INFL has no CPI peg, euro peg or guaranteed redemption value.

Does Inflara guarantee purchasing power?

No. Inflara provides transparent, inflation-responsive supply rules. It does not guarantee that INFL market value will preserve purchasing power.

How often is monetary policy updated?

The live Controller V2 allows a policy snapshot to be refreshed no sooner than every 30 days.

How often can epochs execute?

Daily. The active monthly snapshot fixes the daily mint amount for the policy period, subject to the supply cap.

What is the current hard supply cap?

1,000,000,000 INFL.

Are staking rewards guaranteed at 8.5%?

No. 8.5% is a maximum annualised protocol-reward cap. Actual rewards can be lower and depend on policy issuance and total stake.

Can the Treasury receive more than 10% of daily issuance?

Yes. Stakers have a target allocation of up to 90%, but the staking APR cap can reduce the actual staking allocation. Any remainder goes to Treasury.

Is the CPI oracle fully automated?

Not in the current Phase 1 deployment. CPI is presently updated through a governance-controlled Safe process. Future oracle automation is a development option.

Does Inflara guarantee investment returns?

No. INFL can lose value and may be illiquid.

Is this the formal MiCA white paper?

No. This is the Constitution & Protocol Overview. A separate prescribed MiCA white paper and notification package is required where applicable before a public offer or admission to trading in the EU.

19. The Inflara Declaration

People deserve to understand the systems that influence their money.

Rules should be visible.

Monetary policy should be transparent.

Communities should have a meaningful voice in the governance of the systems they choose to support.

Technology should strengthen accountability rather than obscure it.

Transparency should be the foundation upon which trust is built.

Inflara represents an ongoing commitment to these principles. Its success should not be measured only by adoption or market value, but by whether the protocol remains transparent, understandable, secure and accountable to the community that chooses to participate.

20. Appendices

Appendix A - Live Protocol Summary

Item	Value
Network	Arbitrum One
Chain ID	42161
Token	INFL / ERC-20
Genesis supply	100,000,000 INFL
Maximum supply	1,000,000,000 INFL
Policy snapshot	30 days
Epoch interval	1 day
Staker target share	Up to 90% of daily issuance
Staking reward ceiling	8.5% annualised of total staked
Current governance	2-of-3 Safe
Current CPI input method	Safe-controlled on-chain update
Controller	Policy Controller V2

Appendix B - Policy Formula

At each permitted policy refresh:

1. Read current total supply.
2. Read current CPI input from the Monetary Policy Engine.
3. Map CPI to the predefined annual issuance-rate band.
4. Calculate $\text{dailyMintAmount} = \text{snapshotSupply} \times \text{annualRateBps} \div 10,000 \div 365$.
5. Store snapshot supply, CPI, annual rate and fixed daily mint for the 30-day policy period.

Appendix C - Regulatory Readiness Notes

- The formal MiCA Title II white paper, if applicable, is separate from this Constitution & Protocol Overview.
- The formal white paper must identify the legal offeror/person seeking admission to trading and include all mandatory disclosures.
- MiCA Article 8 requires the notification package to include an explanation of why the token is not excluded from MiCA and is not an EMT or ART.

- The Central Bank of Ireland states that it receives Title II white-paper notifications but does not approve those white papers.
- Commission Implementing Regulation (EU) 2024/2984 applies the prescribed XHTML / Inline XBRL white-paper format from 23 December 2025.
- Legal and regulatory review should be completed before any EU public offer or admission to trading.

Document history

Version	Date	Summary
1.0	July 2026	Original Constitution, governance framework and protocol overview.
1.1	August 2026	Updated to match live Arbitrum deployment, Controller V2 monthly policy snapshots, staking cap, mainnet addresses and regulatory-safe market-value language.

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